

estate – a good equity portfolio needs five years of patience, ten years to see consistent returns, but actually will slow-cook over fifteen to twenty years.

Two, remember that your risk is choosing poor products and finding out after fifteen years that your fund manager has malfunctioned. While others went far ahead, yours did worse than the average product in the market. Three, if you find yourself frozen while choosing equity products in the market – direct stocks, market-linked products such as unit-linked insurance plans (ULIPs) and mutual funds – and don't want to take the risk of choosing a fund manager, go with an exchange-traded fund (ETF) or an index fund linked to a broad market index or a mid-cap index. This is the safest way to get the average market returns without taking the risk of having a fund manager.

You will do worse than the best-managed funds, but better than the worst-managed funds. ETFs also have wafer-thin costs now that the Employees' Provident Fund Organization (EPFO) money into the SBI Mutual Fund ETFs has reduced overall costs for the market.

An average equity fund costs you 2 per cent of the returns a year and the cheapest ETF costs 0.03 per cent. Over a thirty-year period, this difference in cost will be significant if your managed fund does not beat the index by more than the cost difference.

Four, do not invest in any product that locks you into a particular company or asset manager. What we forget is that, over the long term in equity investing, the risk is not of the market, but of poor fund management. This is why I do not recommend having a ULIP in your equity portfolio, despite it being competitive with mutual funds in terms of costs.

A ULIP will lock you in with a particular company's asset management and shuffling is expensive. What you want is a product where exit is possible, cheap and easy. Think of it as portability –you should be able to port your money to a better fund manager for a very tiny cost, if you are unhappy with the existing one.

Five, if you want to invest in managed funds, start learning. Read through the Mint50 coverage (<http://bit.ly/iKd4Mhv>). Go through the Value Research data (<http://bit.ly/iKYChan>) and Morningstar ratings (<http://bit.ly/iTjoxZy>). Some smart investors run their funds past all the three metrics to see if they pass